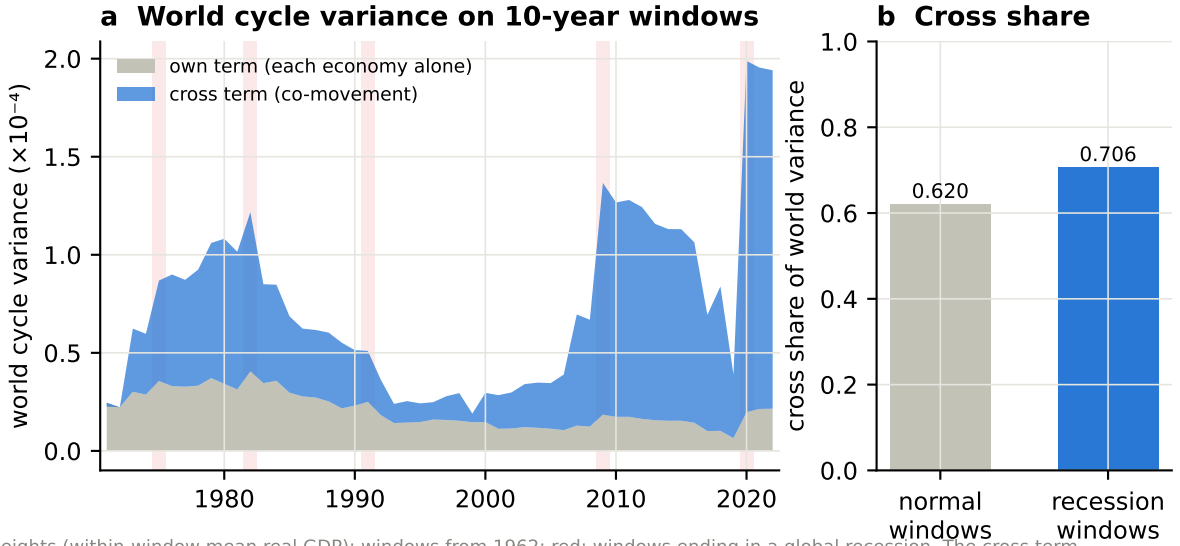
Loss of diversification in global recessions (GDP-weighted)



GDP weights (within-window mean real GDP); windows from 1962; red: windows ending in a global recession. The cross term supplies 84.3% of the extra variance in recession windows (descriptive; no p-value: the share has no proper null).